Saudi oil disruption to continue amid regional war

送信者: EG Daily Brief 受信日時: 2026-08-03 23:19

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3 Aug 2026 10:13 EDT Discover more on the Portal

summary

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Houthi attacks and US-Iran escalation will likely continue to partially disrupt Saudi exports this year.
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Ian Bremmer warns how the AI arms race between the US and China threatens to derail recent stability in the bilateral relationship.
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The US has intervened to support the yen, as the politics of the exchange rate between the US and Japan has become unusually aligned.
*
Bolivia’s IMF deal will likely secure legislative approval, however economic reform implementation will face a more challenging path.
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Regions, countries, and sectors covered in this edition include the US, Bolivia, China, Japan, the Middle East and North Africa, Saudi Arabia, geotechnology, and oil.

announcements

To our readers: Beginning today and during the month of August, we will publish the EG Daily Brief on a reduced, summer schedule—Mondays, Wednesdays, and Thursdays.

the top line

Saudi Arabia, Oil—Oil disruptions to persist amid regional conflict in 2026

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The Houthis will probably keep up attacks on Saudi-linked shipping in the Red Sea and Bab el-Mandeb Strait as well as strikes on Saudi energy infrastructure during the remainder of 2026 (60% odds), partially disrupting Saudi oil exports, though a full blockade or sustained hit to these exports is much less likely (15% odds).

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A Saudi-Houthi deal looks unlikely this year because Houthi demands remain expansive and Iran’s position keeps them emboldened (25% probability); the Prophet Mohammed’s birthday on 25 August could be a key watchpoint for either compromise or escalation.
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The risk picture is broader than Yemen: Given the expectation of US-Iran escalation by mid-September, attacks by Iran and Iraq-based militias could add pressure on Saudi oil and US-linked targets in the kingdom, making Saudi export disruption more likely.
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Read more here . Reach out to discuss: mena@eurasiagroup.net .

eg update—Ian Bremmer on the risk AI poses to US-China stability

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One of the most consistent Trump foreign policies over the last year has been stabilizing the relationship with China...But I'm increasingly thinking it's not sustainable and will soon be stress-tested in ways that neither government has seen before. Because of quickly advancing Chinese capabilities and how quickly AI risks are becoming serious in relation to the national security of both countries.
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China's decision to lean into inexpensive, open-source models will bring AI at scale less expensively...competition (and data collection) that will prove unwelcome to the US intelligence and defense community.
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Chinese models will bring some of the same cyber, bio, and alignment risks as American frontier models...But Chinese companies won't respond to US government concerns the way Anthropic and OpenAI have. Which makes it likely the US will put serious restrictions on the US-China AI relationship in the coming months—from restricting Chinese access to US models, limiting US access to Chinese open-weight models, and looking to use political leverage to expand (non-Chinese) global adoption of American AI.
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Read more on Ian’s outlook for the US-Iran war and a more stable relationship between the US and Ukraine here .

Japan, US—Chart of the day: Coordinated currency intervention is markedly different to prior decades

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Overnight comments from President Donald Trump and US Treasury Secretary Scott Bessent triggered further appreciation of the Japanese yen and Korean won. Trump and Bessent have made greater commitments than prior administrations, as the politics of the exchange rate have become unusually aligned between the US, Japan, and South Korea.
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The intervention comes in response to the sharp weakening of the yen this year despite a narrowing US-Japan interest rate differential (see chart), which would normally support the currency.
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The success of this policy will likely depend on whether the disconnect between the exchange rate and bond yields reflects speculative activity or a shift in economic competitiveness.

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The intervention could help deter speculative positioning, with short yen positioning having increased to record levels.

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However, shifts in global trade in favor of the US, including Japan's rising energy import bill, means that sustaining yen support through intervention alone may prove challenging in the medium-term.

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Reach out to discuss: geoeconomics@eurasiagroup.net .

US—Trump approval rating slides to new low

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After dropping below 40% the prior week, Trump's approval rating fell slightly more last week, from 38.8% to 38.2% in Silver Bulletin's approval-rating tracker. In Quinnipiac's national poll, Trump's approval rating registered at 32%, likely due to the resumption of the Iran war.

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The congressional generic ballot stayed consistent, with Democrats claiming a 6.4-point lead, with some polls placing the lead as high as 11 points.

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Democrats remain the strong favorites in the House race (85% odds), and this week's Senate race polling indicates mounting momentum across the board for Democrats.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net

Bolivia—IMF deal will likely secure legislative approval, implementation hurdles remain

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As expected, President Rodrigo Paz's administration reached an agreement with the IMF for a three-year $1.9 billion Extended Fund Facility, which congress will likely approve, given conservative allies' support for IMF collaboration.

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However, structural economic reforms will face a more difficult path after the recent split between Paz and his main ally, Samuel Doria Medina, whose Unity Alliance will likely provide support on a case-by-case basis.

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Social opposition will likely remain muted in the near term, but Paz's political capital is diminishing, and he is sensitive to public pressure, which will test his commitment to a painful fiscal adjustment.

*

Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

upcoming conference calls

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3 August 9:00 PM ET—Iran war escalation and energy implications. Register here .

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6 August 9:30 AM ET—US political and economic update. Register here .

eg in depth

Resources—Supply gap and Iran war will keep copper prices elevated: Copper and other energy transition minerals are poised to continue rising from already historic highs, driven by strong structural demand and worsening supply constraints. The pipeline of new mining projects remains insufficient to meet surging demand from electrification, AI infrastructure, and rising defense spending. The Iran war is creating a short-term squeeze by disrupting global markets for sulfur, a key input for both the copper leaching process and fertilizer production. Governments will continue to prioritize food security over copper supply, compounding the challenges for copper production. Consumer countries will respond with greater policy support for mining development. However, the main structural risk is in processing, not mining. Governments outside China will face growing pressure to support domestic processors, which will become increasingly necessary and costly, adding a policy challenge to an already complex market. Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Upcoming events:

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3 August: Data: US S&P and ISM manufacturing PMI.

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4 August: Events: SpaceX earnings, and Kansas, Michigan, Missouri, and Washington primaries; Data: South Korea CPI and US JOLTS job openings.

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5 August: Data: Eurozone PPI, US ADP employment change; Central bank decisions: Brazil and India.

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6 August: Events: Tennessee primary elections; Central bank decisions: Czechia and Mexico.

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7 August: Data: China trade and foreign reserves, Germany industrial production, and US unemployment and nonfarm payrolls.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Joseph Craven, Martina Silva, and Trista Kelley, with help from Marina Tavares, and Astral Betteridge.

closing quip

They have a weakening yen, and they wanted a little bit of help. And we're always there for Japan"—Trump told reporters on Sunday regarding US intervention to support the Japanese yen.

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